# Explainable Machine Learning for Digital Marketing Campaign Performance Prediction

*Predicting whether a campaign's next-day click-through rate will beat its benchmark, using an Explainable Boosting Machine*

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|---|---|
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## Abstract

Digital marketing teams review campaign performance every day and decide which campaigns need attention, but platform dashboards only describe what has already happened. This project builds a model that predicts whether a campaign's click-through rate (CTR) tomorrow will beat a benchmark for comparable campaigns, and explains each prediction. The main model is an Explainable Boosting Machine (EBM), a generalised additive model with pairwise interactions that is fitted by gradient boosting but remains fully interpretable. It is compared with logistic regression, CatBoost and a naive persistence rule on a chronologically held-out test period. Real advertising account exports were not yet available when this report was written, so the pipeline was developed and evaluated on a simulated dataset of 4,818 campaign-days from 90 campaigns; it accepts Google Ads and Meta Ads exports without code changes. On the test period the EBM reached a ROC-AUC of 0.893 (95% CI 0.832–0.936). This was indistinguishable from CatBoost (0.895) and significantly better than assuming tomorrow will look like today (difference +0.022, 95% CI 0.006 to 0.039). The EBM's learned shape functions recovered the structure built into the data, including CTR persistence, creative fatigue and a weekend dip, and also exposed an effect that the model averages away. A Streamlit dashboard makes the predictions and explanations available to non-technical users.

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# 1. Introduction

## 1.1 Background and motivation

Online advertising budgets are now spread across several platforms, and most of that spend is managed day by day. A marketing team running dozens of campaigns on Google Ads and Meta Ads has to decide each morning which campaigns to leave alone, which to refresh with new creative, and which to pause or rebalance. Click-through rate is one of the first signals it looks at. CTR reacts quickly, it is available for every campaign type, and a falling CTR is often the earliest visible sign that an advert has worn out or is reaching the wrong audience.

The difficulty is that daily CTR is noisy. It moves with the day of the week, with auction competition, with budget changes and with the age of the creative. Platform dashboards report these movements after the fact but do not say whether yesterday's dip is likely to continue. A forward-looking warning would help a team prioritise its attention, but only if it comes with a reason. A score saying that a campaign is at risk is of little use unless the team can see whether the cause is a long decline in engagement, an old creative or simply that tomorrow is a Saturday. Most published work on click prediction targets individual ad impressions at very large scale (Richardson, Dominowska and Ragno, 2007; McMahan et al., 2013). This project works one level up, at the level of the campaign-day, where the user is a marketer rather than an ad server.

## 1.2 Problem statement

The task is framed as binary classification. For each campaign at the end of day $t$, using only data available at that point, the model estimates the probability that the campaign's CTR on day $t$+1 will exceed a benchmark for campaigns of the same platform and objective. A positive prediction means the campaign is expected to beat the benchmark; a negative prediction flags it as at risk of underperforming. The output is meant as decision support. Its explanations describe statistical associations in historical data, not causal effects.

## 1.3 Objectives

1 Assemble a campaign-day dataset containing the features listed in the project brief, and define a fair target that leaks no future information.

2 Identify the factors associated with next-day CTR through exploratory analysis.

3 Train an Explainable Boosting Machine and compare it with logistic regression, CatBoost and a persistence baseline.

4 Evaluate the models with precision, recall, F1-score and ROC-AUC on a chronologically held-out test period, with confidence intervals.

5 Explain the EBM globally and for individual predictions, and check its behaviour against domain knowledge.

6 Build an interactive dashboard in which marketing users can enter campaign data and see predictions and explanations.

Section 2 describes the dataset and its preparation, Section 3 the choice of algorithm and Section 4 the method. Results are reported in Section 5 and interpreted in Section 6. Section 7 presents the dashboard, Section 8 discusses limitations and ethical issues, and Section 9 concludes.

# 2. Dataset

## 2.1 Data source

The project brief planned to use daily reports exported from Google Ads, Meta Ads or authorised local campaign reports. Access to such an account had not yet been secured when this report was written, so the data used here is simulated. It was generated by `src/generate_synthetic.py` and is labelled as synthetic throughout the code and in the dashboard. The results in Sections 5 and 6 therefore show that the method works end to end and behaves sensibly; they are not evidence about the performance of real campaigns. The pipeline was written around the column layout of real platform exports, and Section 2.6 explains how real data replaces the simulated file without changing any code.

The simulation was designed to reproduce patterns that are widely discussed in digital advertising, not to make the problem easy. It contains 90 campaigns running between 11 January 2025 and 30 October 2025, 44 on Google Ads and 46 on Meta Ads, each with one of five objectives (Awareness, Traffic, Engagement, Leads and Sales). Every campaign has a typical CTR and cost per thousand impressions (CPM) for its platform and objective, multiplied by a campaign-specific quality factor. On top of this the generator adds:

- creative fatigue, in which CTR decays exponentially with the number of days since the last creative refresh, faster on Meta than on Google, with occasional random refreshes;
- a short learning phase in which new campaigns deliver weaker and more volatile CTR;
- budget changes, where spending well above a campaign's usual level raises CPM and lowers CTR as delivery reaches broader audiences;
- day-of-week effects, with Google campaigns stronger on weekdays and Meta campaigns stronger at weekends;
- persistent day-to-day drift (a first-order autoregressive process) plus a one-day random shock;
- clicks drawn from a binomial distribution given impressions and CTR, occasional paused days, and a small number of duplicated rows of the kind produced by overlapping exports.

Because the data-generating process is known, the simulated data has one genuine advantage: it allows a check of whether the explanations in Section 6 recover real structure rather than artefacts of the model.

## 2.2 Unit of analysis and target variable

Each row describes one campaign at the end of one day ($t$) and is built only from data up to and including that day. The target, *above_benchmark_next_day*, equals 1 when the campaign's CTR on day $t$+1 is higher than its benchmark and 0 otherwise. Two choices shape this definition.

First, the benchmark is set per platform and objective. CTR levels differ by almost an order of magnitude between, for example, Google lead-generation campaigns and Meta awareness campaigns (Table 1), so a single benchmark would mostly measure campaign type rather than performance. Each benchmark is the median daily CTR of all campaign-days in that group during the training period only. Fixing it before any validation or test data is seen keeps future information out of the labels, and using the median gives roughly balanced classes in training.

Second, a day is only labelled if day *t*+1 has at least 100 impressions. Below that, a handful of clicks can move CTR by several percentage points and the label would mostly reflect noise.

*Table 1. Benchmark CTR per platform and objective (median daily CTR in the training period).*

| Platform | Awareness | Engagement | Leads | Sales | Traffic |
|---|---|---|---|---|---|
| **Google Ads** | 0.54% | 1.70% | 4.41% | 3.37% | 3.19% |
| **Meta Ads** | 0.45% | 0.84% | 0.78% | 0.74% | 1.17% |

## 2.3 Features

Table 2 lists the 16 features. They cover the factors named in the project brief: platform, objective, campaign duration, historical spend, previous impressions and clicks, and previous CTR. CTR history is expressed as a *CTR index*, the campaign's CTR divided by its benchmark, so that a value of 1.0 means "at benchmark" for any campaign type. This puts Google and Meta campaigns on a common scale and makes the learned effects easier to read. The index is computed over the last day, the last three days and the last seven days, together with a trend term. Rolling windows are measured in calendar days, so a paused day counts as a day without delivery rather than being skipped. The day of week refers to the day being predicted, which is known in advance.

*Table 2. Model features. Impressions and clicks each contribute two features, giving 16 in total.*

| Group | Feature | Definition |
|---|---|---|
| Context | Advertising platform | Google Ads or Meta Ads |
| | Campaign objective | Awareness, Traffic, Engagement, Leads or Sales |
| | Day of week | Day of the week being predicted (t+1) |
| | Campaign age | Days since the campaign's first day (campaign duration) |
| Spend | Spend, last day | Spend on day t |
| | Average daily spend, 7 days | Mean daily spend over days t−6 to t |
| | Cumulative spend | Total spend since the campaign started |
| | CPM, 7 days | Cost per 1,000 impressions over the last 7 days |
| Delivery | Impressions and clicks, last day | Impressions and clicks on day t |
| | Average daily impressions and clicks, 7 days | Means over days t−6 to t |
| CTR history | CTR index, 1, 3 and 7 days | CTR over the window divided by the benchmark |
| | CTR trend | One-day index minus seven-day index |

## 2.4 Preprocessing

Cleaning (`src/data.py`) parses dates and numbers, removes total rows from exports, drops impossible records (negative values, or more clicks than impressions), merges duplicate campaign-days and fills gaps inside each campaign's date range with zero-delivery days. On the simulated data the raw file had 4,933 rows; cleaning merged 25 duplicates, found 0 invalid values and filled 104 gap days, giving a daily panel of 5,012 campaign-days. Removing days without a next-day label (the last day of each campaign and days followed by fewer than 100 impressions) and days with no delivery in the previous week left 4,818 labelled rows.

Encoding and scaling depend on the model. The EBM handles platform, objective and day of week as nominal features and bins the numeric features, so it needs neither one-hot encoding nor scaling. CatBoost also handles categorical features natively, using ordered target statistics. For logistic regression the categorical features are one-hot encoded, the heavy-tailed volume features (spend, impressions, clicks, campaign age and CPM) are log-transformed, and all numeric features are standardised, with median imputation and a missing-value indicator. On a day with no delivery the one-day CTR is undefined, so the one-day index falls back to the seven-day index.

### 2.5 Dataset size and split

The final dataset has 4,818 labelled campaign-days, well above the target of 1,000 in the project brief. Table 3 shows how it divides into the chronological training, validation and test sets described in Section 4.3.

*Table 3. Chronological split.*

| Split | Days predicted | Rows | Campaigns | Above benchmark |
|---|---|---|---|---|
| **Training** | 13 Jan 2025 – 17 Aug 2025 | 3,383 | 67 | 50.2% |
| **Validation** | 18 Aug 2025 – 24 Sep 2025 | 716 | 30 | 54.2% |
| **Test** | 25 Sep 2025 – 30 Oct 2025 | 719 | 26 | 55.2% |

### 2.6 Ethics and collecting real data

The project uses only aggregated, campaign-level statistics: daily spend, impressions and clicks. It does not use user-level data, demographics or any other personal information, so no individual can be identified from the dataset. Real data should come only from accounts the author is authorised to access, with the account owner's permission. Campaign names can be commercially sensitive, so the conversion tool replaces them with one-way hashed identifiers, and real exports are excluded from version control.

To use real data, daily campaign reports are exported from Google Ads (a campaign report segmented by day, with cost, impressions and clicks) and from Meta Ads Manager (the campaign table broken down by day, with amount spent, impressions and link clicks), then converted with:

```
python -m src.data --export google.csv "Google Ads" --export meta.csv "Meta Ads"
```

The converter copes with the title lines that Google Ads places above the header, total rows, currency symbols and thousands separators. Retraining then needs no code changes.

## 3. Algorithm selection: Explainable Boosting Machine

### 3.1 How EBM works

An EBM is a generalised additive model with optional pairwise interactions, sometimes called a GA$^2$M (Lou, Caruana and Gehrke, 2012; Lou et al., 2013). For binary classification it models the log-odds of the positive class as

$$\log[\, p / (1 - p) \,] = \beta_0 + \Sigma_j f_j(x_j) + \Sigma_{i<j} f_{ij}(x_i, x_j)$$

where each $f_j$ is an arbitrary learned function of one feature and each $f_{ij}$ a function of a pair of features. Because the model is a sum, any prediction can be split exactly into one contribution per term.

What separates EBM from classical GAMs, which fit smooth splines (Hastie and Tibshirani, 1990), is how the functions are learned. The InterpretML implementation (Nori et al., 2019) uses cyclic gradient boosting. It visits the features one at a time in a round-robin, fits a very small tree to the current residuals using only that feature, and adds it to that feature's function with a low learning rate. Because each step sees a single feature, the effect of correlated features is shared out gradually instead of being claimed by whichever feature a tree happens to split on first. After thousands of rounds each function is stored as a lookup table over bins of the feature. Pairwise interactions are then chosen with the FAST heuristic and fitted to the remaining residuals in the same way. Finally, the whole procedure is repeated on bootstrap samples of the training data (14 "outer bags" by default) and averaged, which lowers variance and gives an uncertainty band for every learned function.

### 3.2 Why EBM was selected

The task needs a model that can capture non-linear effects. The relationship between recent and future CTR levels off at high values, fatigue only sets in after the first week or so, and day-of-week effects are categorical rather than linear. At the same time the output is meant to be acted on by marketers, who need to know why a campaign is flagged. Post-hoc methods such as SHAP or LIME can describe a black-box model, but they are approximations whose output depends on the explainer and its settings, and Rudin (2019) argues that where an interpretable model performs as well, it should be preferred. EBMs have been shown to come close to the accuracy of gradient-boosted trees on tabular data (Caruana et al., 2015; Nori et al., 2019), and their explanations are the model itself rather than a description of it. The dataset also suits the method: a few thousand rows of mixed numeric and categorical features, on which an EBM trains in about a second.

### 3.3 How EBM differs from standard models

Table 4 compares EBM with the standard models named in the assignment guidelines and with CatBoost, which is used here as the accuracy reference.

*Table 4. EBM compared with standard models.*

| Model | How it predicts | Non-linear effects | How it is explained | Weakness for this task |
|---|---|---|---|---|
| **Decision tree** | A sequence of if-then splits | Yes, as steps | Read the path to a leaf | Unstable; deep trees become unreadable, shallow ones are inaccurate |
| **Logistic regression** | Weighted sum of features | No (unless engineered) | One coefficient per feature | Cannot follow curved or saturating effects; unstable when features are correlated |
| **k-nearest neighbours** | Vote of the most similar past cases | Yes | Only by showing neighbours | No model of feature effects; sensitive to scaling |
| **CatBoost (gradient-boosted trees)** | Sum of hundreds of deep trees | Yes, with complex interactions | Needs post-hoc tools | Black box: explanations are approximations |
| **EBM** | Sum of learned per-feature and pairwise functions | Yes, any shape per feature | Exact: plot each function; add up contributions | Interactions limited to pairs |

Compared with logistic regression, EBM keeps the additive structure but replaces each coefficient with a learned curve, so a feature can matter a great deal in one range and not at all in another. Compared with a decision tree, it does not split the data into ever smaller regions; each feature's effect is estimated from all of the data and stays readable however many features there are. k-NN stores no

model at all, so it cannot say which features drove a prediction. Compared with a general gradient-boosting model such as CatBoost (Prokhorenkova et al., 2018), EBM restricts itself to single-feature and pairwise terms. That restriction is what makes it interpretable, and Section 5 tests whether it costs accuracy.

### 3.4 Eligibility

The assignment requires an algorithm that was not covered in lectures. EBM was not among the algorithms taught in the module [confirm with the module leader before submission]. Logistic regression appears in this project only as a comparison model.

## 4. Methodology

### 4.1 Overview

Figure 1 summarises the workflow, which follows the steps set out in the project brief. Everything is scripted in Python using pandas, scikit-learn (Pedregosa et al., 2011), InterpretML and CatBoost, and a full run from the raw file to the final figures takes under a minute on a laptop.

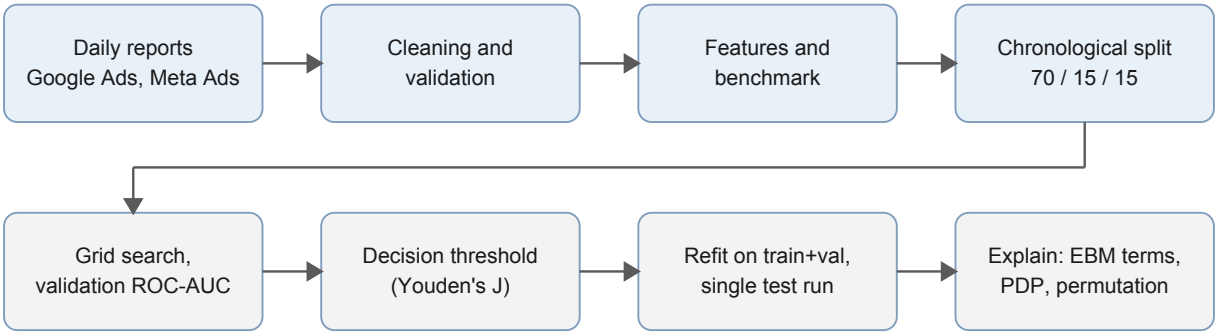



*Figure 1. Modelling workflow. Blue steps prepare the data; grey steps train, evaluate and explain the models.*

### 4.2 Exploratory analysis

Four findings from the exploratory analysis (`notebooks/01_eda.ipynb`) shaped the modelling. First, CTR levels differ strongly by objective and platform (Figure 2a), which motivated the per-group benchmark. Second, CTR is persistent: the Spearman correlation between a campaign's CTR index on one day and on the next is 0.67, and 0.66 for the seven-day index (Figure 2b), so a rule that simply assumes tomorrow will look like today is a demanding baseline. Third, CTR rises over the first week of a campaign and then declines with age on both platforms (Figure 2c), the expected signature of a learning phase followed by creative fatigue. Fourth, the weekly pattern runs in opposite directions on the two platforms (Figure 2d): Google campaigns are stronger on weekdays and Meta campaigns at weekends.

The share of campaign-days above benchmark also drifts upwards over time, from 50% in training to 54% in validation and 55% in test. This is one reason for testing on a later period rather than a random sample.




*Figure 2. Exploratory analysis: (a, top left) daily CTR by objective and platform; (b, top right) CTR index today against tomorrow; (c, bottom left) median next-day CTR index by campaign age; (d, bottom right) median CTR index by day of week.*

## 4.3 Chronological split

Rows are ordered by the date being predicted. The oldest 70% form the training set, the next 15% the validation set and the newest 15% the test set (Table 3). Nothing is shuffled, so every evaluation is on days later than anything the model was fitted on, which is how the model would be used in practice. A random split would let the model see the same campaign on the days either side of a test day and would overstate performance. As a check, the features for 60 randomly chosen rows were rebuilt from data cut off at day $t$; they were identical to the stored features, confirming that no future information reaches the inputs.

## 4.4 Models and hyperparameter search

Each model was tuned by grid search: every configuration was trained on the training set and scored by ROC-AUC on the validation set (Table 5). For EBM the search covered the number of pairwise interactions (0, 5 or 10, where 0 gives a purely additive model), the maximum number of bins per feature and the minimum number of samples per leaf, with the learning rate kept at the library default. For logistic regression it covered the inverse regularisation strength $C$ and class weighting, and for CatBoost the tree depth, learning rate and L2 regularisation, with the number of trees set by early stopping on the validation set.

*Table 5. Hyperparameter grids (all combinations were tried) and the selected values.*

| Model | Values searched | Selected |
|---|---|---|
| **EBM** | interactions: 0, 5, 10; max_bins: 32, 128; min_samples_leaf: 4, 20; learning_rate = 0.015; 14 outer bags | interactions = 10, max_bins = 128, min_samples_leaf = 4 |
| **Logistic regression** | C: 0.01, 0.1, 1, 10; class_weight: none, balanced | C = 10, class_weight = balanced |
| **CatBoost** | depth: 4, 6; learning_rate: 0.03, 0.1; l2_leaf_reg: 3, 10; up to 2,000 trees with early stopping (100 rounds) | depth = 6, learning_rate = 0.03, l2_leaf_reg = 10 |

The decision threshold for each model was chosen on the validation set by maximising Youden's $J$ statistic, sensitivity plus specificity minus one (Youden, 1950). An earlier version maximised F1-score instead, which pushed every threshold down to about 0.25 and meant the models almost never flagged an underperforming campaign, the main purpose of the tool. After tuning, each model was refitted on the training and validation sets together and evaluated once on the test set.

### 4.5 Baseline

A persistence baseline predicts that a campaign will beat its benchmark tomorrow if it beat it today (one-day CTR index above 1), and uses the one-day index as its ranking score. Given the persistence seen in the exploratory analysis, a model is only worth having if it beats this rule.

### 4.6 Evaluation metrics

Precision, recall and F1-score are reported with "above benchmark" as the positive class, as specified in the project brief. Because the practical aim is to catch underperforming campaigns, specificity is also reported, labelled *at-risk recall*: the share of below-benchmark days that the model flags. ROC-AUC and PR-AUC summarise ranking quality across all thresholds, and the Brier score measures the accuracy of the predicted probabilities. Days from the same campaign are correlated, so 95% confidence intervals were obtained by resampling whole campaigns rather than individual days (a cluster bootstrap; Efron and Tibshirani, 1993). The test set contains only 26 campaigns, so the intervals are fairly wide. Differences between models were assessed on paired resamples of the same campaigns.

## 5. Results

### 5.1 Overall test performance

Table 6 summarises the test-set results. The three trained models ranked campaign-days almost equally well: ROC-AUC was 0.893 for EBM, 0.895 for CatBoost and 0.892 for logistic regression, against 0.871 for the persistence baseline. The confidence intervals overlap heavily, which is expected with 26 test campaigns, so the paired comparisons in Table 7 are more informative.

*Table 6. Test-set results (719 campaign-days, 26 campaigns). Thresholds were fixed on the validation set; the persistence rule uses a CTR index of 1.*

| Model | Thr. | Precision | Recall | F1 | At-risk recall | ROC-AUC (95% CI) | PR-AUC | Brier |
|---|---|---|---|---|---|---|---|---|
| **EBM** | 0.51 | 0.827 | 0.831 | 0.829 | 0.786 | 0.893 (0.832–0.936) | 0.906 | 0.132 |
| **CatBoost** | 0.58 | 0.856 | 0.778 | 0.815 | 0.839 | 0.895 (0.833–0.937) | 0.908 | 0.131 |
| **Logistic Regression** | 0.57 | 0.858 | 0.728 | 0.787 | 0.851 | 0.892 (0.834–0.933) | 0.905 | 0.133 |
| **Persistence** | 1.00 | 0.805 | 0.824 | 0.814 | 0.755 | 0.871 (0.811–0.920) | 0.889 | – |

*Table 7. Paired differences in test ROC-AUC (cluster bootstrap, 1,000 resamples).*

| Comparison | Difference in ROC-AUC | 95% CI | Resamples favouring EBM |
|---|---|---|---|
| **EBM − persistence** | +0.022 | +0.006 to +0.039 | 99.9% |
| **EBM − CatBoost** | -0.002 | -0.006 to +0.003 | 23.4% |
| **EBM − Logistic Regression** | +0.001 | -0.003 to +0.006 | 75.0% |

The EBM's advantage over persistence (+0.022) has an interval that excludes zero, so the model adds real information beyond yesterday's CTR. Its differences from CatBoost (-0.002) and logistic regression (+0.001) do not; in other words, the glass-box model gave up no measurable accuracy relative to the black-box reference.

At the chosen thresholds the models made different trade-offs. EBM had the highest recall of the three trained models (0.831) and the highest F1-score (0.829), and caught 79% of below-benchmark days. Logistic regression and CatBoost settled on higher thresholds and flagged more of the at-risk days (85% and 84%) at the cost of recall on the positive class. The persistence rule's F1-score (0.814) is close to the models', which deserves to be said plainly: for a simple yes/no decision the models add only a little over assuming that tomorrow will resemble today. Their larger contribution lies in ranking, in well-calibrated probabilities, which persistence cannot provide, and in the explanations.

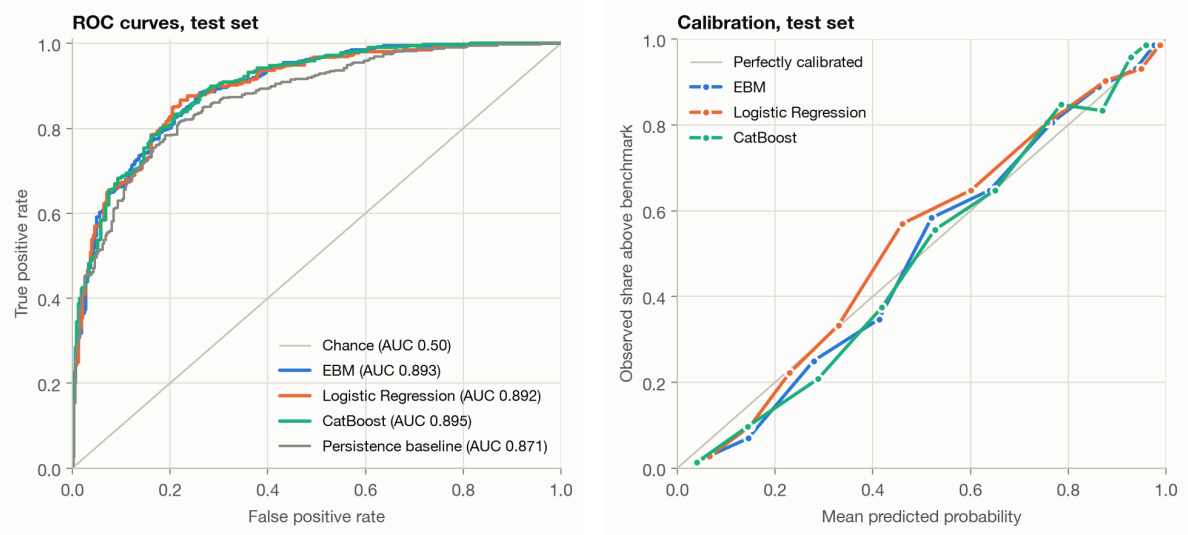



*Figure 3. Test-set ROC curves (left) and calibration curves (right).*

Figure 3 shows that the curves of the three trained models lie almost on top of one another and above the persistence curve across most of the range. The calibration curves follow the diagonal closely (Brier scores 0.131–0.133), so a predicted 70% chance of beating the benchmark can be read roughly at face value. Figure 4 shows the confusion matrices at the chosen thresholds.

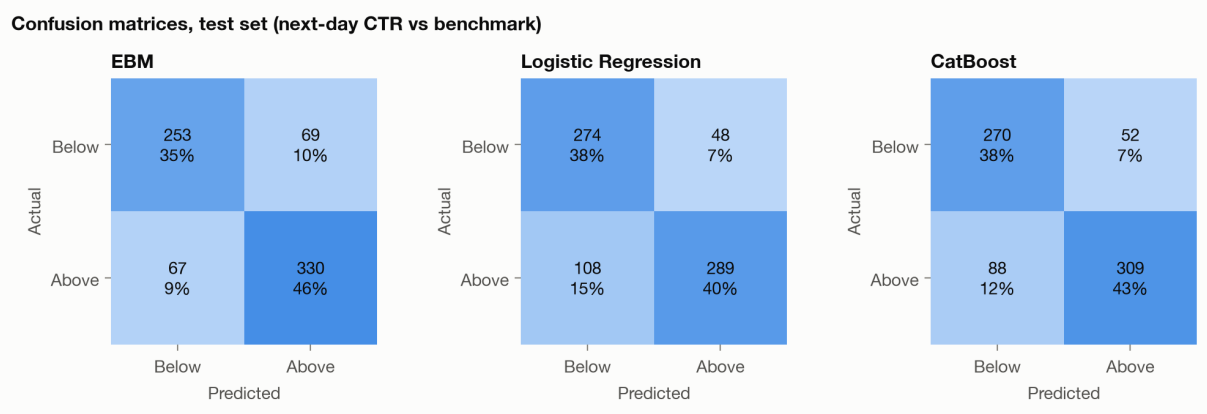



*Figure 4. Test-set confusion matrices at the validation-chosen thresholds.*

Validation ROC-AUC was lower than test ROC-AUC for every model (EBM 0.834 against 0.893). Part of this comes from refitting on more recent data, but the persistence rule, which involves no training at all, improved by a similar amount (0.812 to 0.871). Most of the gap therefore reflects a test period that happened to be easier to predict. The test figures should be read together with their intervals, and the validation figures give a fair idea of performance in a less favourable period.

## 5.2 Effect of hyperparameters

Hyperparameters mattered little. The best EBM used 10 interactions, but the purely additive model scored only 0.0010 lower in validation ROC-AUC (0.8328 against 0.8338). Most of the signal is carried by main effects, which is convenient, because main effects are the easiest terms to explain. Logistic regression preferred weak regularisation ($C = 10$) and CatBoost a depth of 6 with a learning rate of 0.03. All models trained quickly, taking on average 1.1 s per EBM fit and 0.5 s per CatBoost fit.

## 5.3 Performance across segments

Performance was broadly similar on the two platforms, with an EBM ROC-AUC of 0.910 on Google Ads and 0.878 on Meta Ads (Table 8). It varied more by objective, from 0.814 to 0.971, although the smallest group has only 57 test rows and its figure is noisy. The weak spot is at-risk recall for Sales campaigns (0.605): 75% of Sales days in the test period were above benchmark, and a single threshold shared by all groups flags fewer of the minority of bad days. A threshold per segment, or a benchmark that is updated over time, would address this.

*Table 8. EBM test performance by platform and by objective.*

| Segment | Test rows | Above benchmark | ROC-AUC | F1 | At-risk recall |
|---|---|---|---|---|---|
| **Google Ads** | 302 | 57% | 0.910 | 0.848 | 0.808 |
| **Meta Ads** | 417 | 54% | 0.878 | 0.815 | 0.771 |
| **Awareness** | 112 | 48% | 0.849 | 0.746 | 0.741 |
| **Engagement** | 119 | 40% | 0.843 | 0.755 | 0.817 |
| **Leads** | 261 | 56% | 0.918 | 0.855 | 0.819 |
| **Sales** | 170 | 75% | 0.814 | 0.866 | 0.605 |
| **Traffic** | 57 | 40% | 0.971 | 0.818 | 0.912 |

# 6. Explainability and interpretation

## 6.1 Global feature importance

EBM term importance is the mean absolute contribution of a term to the log-odds over the training data (Figure 5). The three CTR-index features dominate (seven-day 0.473, one-day 0.384, three-day 0.379), followed at a distance by campaign age (0.105), day of week (0.100) and the CTR trend (0.092). Clicks and spend carry small effects. Platform has almost no main effect (+0.004 and -0.003 log-odds for Google and Meta), which is exactly what should happen: the per-group benchmark already absorbs platform differences, so the model only has to learn how a campaign moves relative to its peers. Of the 26 terms in the final model, 10 are pairwise interactions, none with an importance above 0.042.

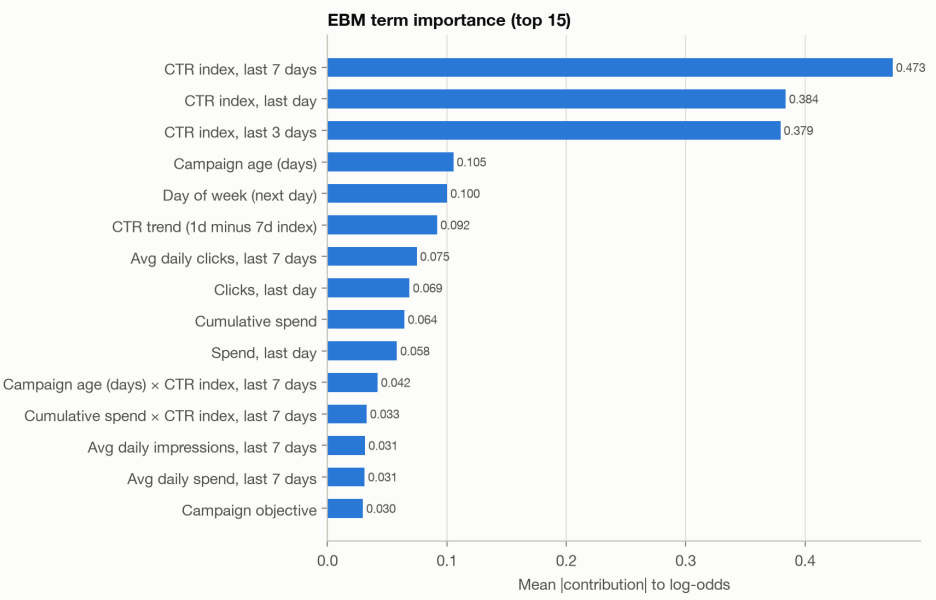



*Figure 5. EBM term importance (15 most important terms).*

## 6.2 Learned shape functions

Figure 6 shows what the EBM learned for its most important features. Each panel plots the contribution to the log-odds against the feature value; the shaded band shows the variation across the bagged models.

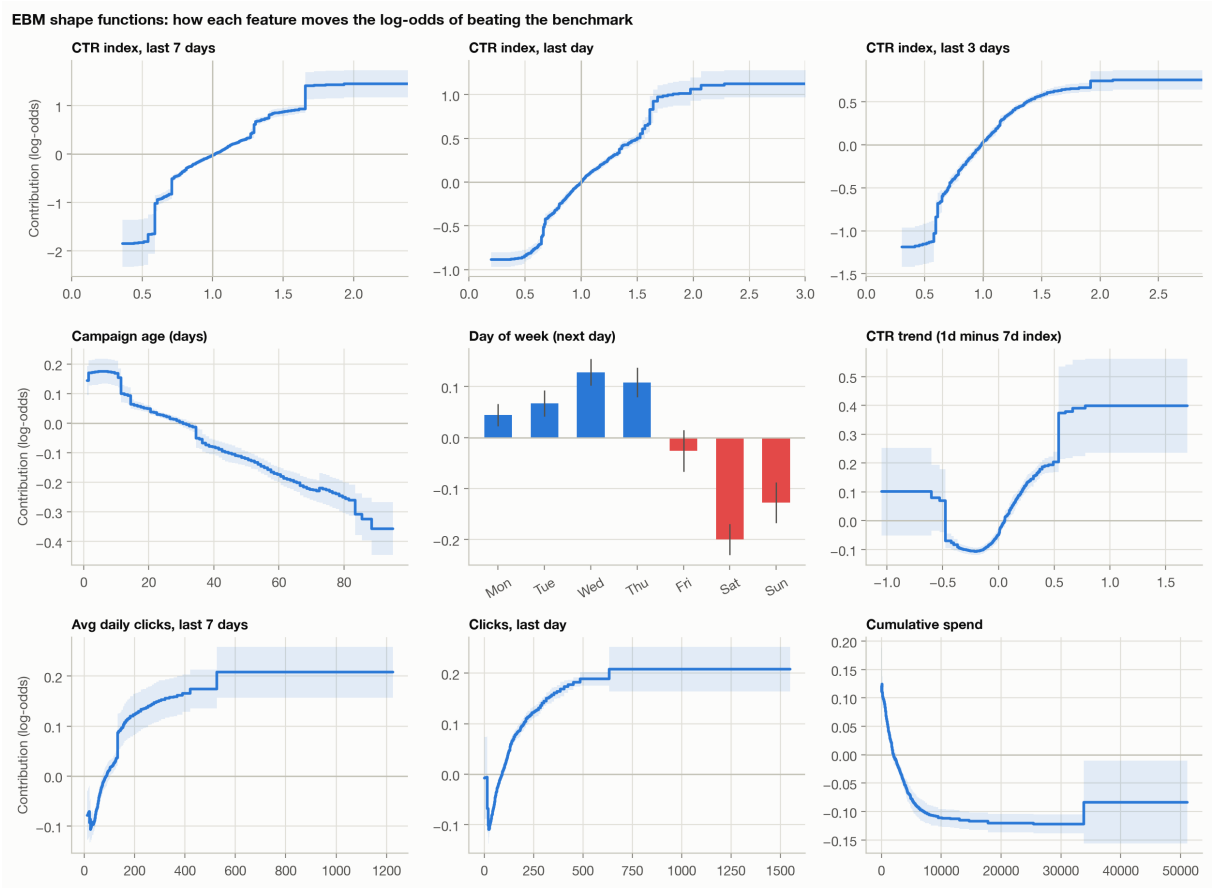



*Figure 6. EBM shape functions for the nine most important main effects. Vertical lines mark a CTR index of 1 (at benchmark).*

- **CTR index.** For all three windows the contribution rises steadily and crosses zero at an index of about 1.02 for the seven-day window, close to the point at which a campaign is exactly at its benchmark. That point was not given to the model; it was learned from the data. The curves flatten above an index of roughly 1.6 to 2, so a campaign far above benchmark gains little from being further above it.
- **Campaign age.** Young campaigns receive a small positive contribution (+0.14), after which the effect declines almost linearly to about -0.36 by day 88. This is the shape of creative fatigue.
- **Day of week.** Wednesday (+0.13) and Thursday (+0.11) are the strongest days and Saturday (-0.20) and Sunday (-0.13) the weakest.
- **CTR trend.** A sharp recent rise above the seven-day level raises the probability and a modest dip lowers it. Very large drops receive a slightly positive contribution, which hints at a rebound after one-off bad days, but this part of the curve rests on few observations and has a wide band.
- **Cumulative spend** has a falling curve, largely because it is correlated with campaign age. It should not be read as "spending more makes CTR worse".

## 6.3 Interactions

The strongest interaction pairs campaign age with the seven-day CTR index (Figure 7). A weak recent CTR is penalised more heavily in an older campaign than in a young one, while young campaigns with a low index receive a small upward correction. This fits the idea that a new campaign's poor start partly reflects the platform's learning phase and tends to recover, whereas poor CTR in an old campaign reflects fatigue and persists. The effect is real but small, in line with the small gain from interactions in Section 5.2.

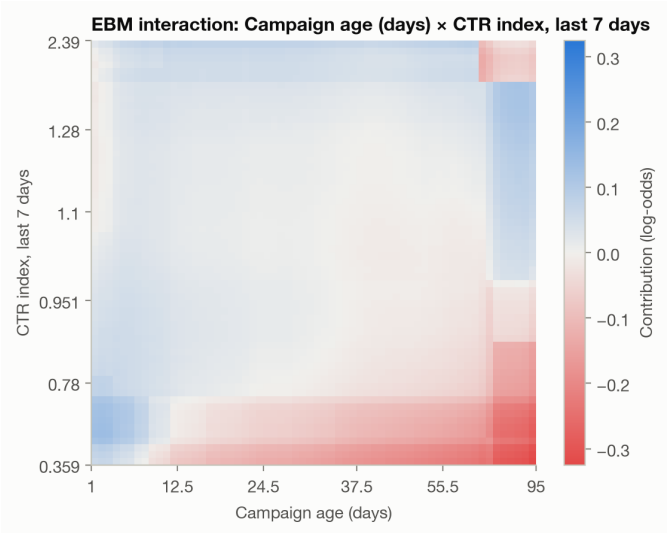



*Figure 7. Strongest EBM interaction: campaign age × seven-day CTR index. Blue raises and red lowers the log-odds. Axes are in bins of the features.*

## 6.4 Local explanations

Because the EBM is additive, each prediction breaks down exactly into an intercept plus one contribution per term, and the code checks that these add up to the predicted log-odds for every test row. Figure 8 shows two test cases. In the first, campaign cmp_040 on 18 October 2025 (predicted probability 0.3%), all three CTR-index terms are strongly negative because the campaign had been running at about 0.53 times its benchmark over the previous week; campaign age and the coming Saturday add further negative weight. The campaign did fall below its benchmark.

The second case is the most confident error in the test set. Campaign cmp_065 was given a 98% chance of beating its benchmark on 16 October 2025, because its CTR had been running at 1.64 times the benchmark over the previous week and 2.72 times on the last day. The next day its CTR fell to 0.775%, just below the benchmark of 0.776% and 39% lower than its own seven-day average. The explanation makes the error easy to understand: nothing in the campaign's history pointed to the drop, so it was most likely a one-off shock that no model based on past performance could foresee.

## 6.5 Partial dependence

Partial dependence plots (Friedman, 2001) show the average predicted probability as one feature is varied while the others keep their observed values, and they can be computed for any model. Figure 9 compares the three models. EBM and CatBoost produce almost the same curves, including the flattening at high CTR index, which suggests both have found the same underlying relationship. Logistic regression is limited to smooth monotone curves. For campaign age this exaggerates the effect: its partial dependence falls from 0.76 at the start of a campaign to 0.42 by day 87, whereas the EBM's falls only from 0.59 to 0.51 and CatBoost's from 0.60 to 0.53.

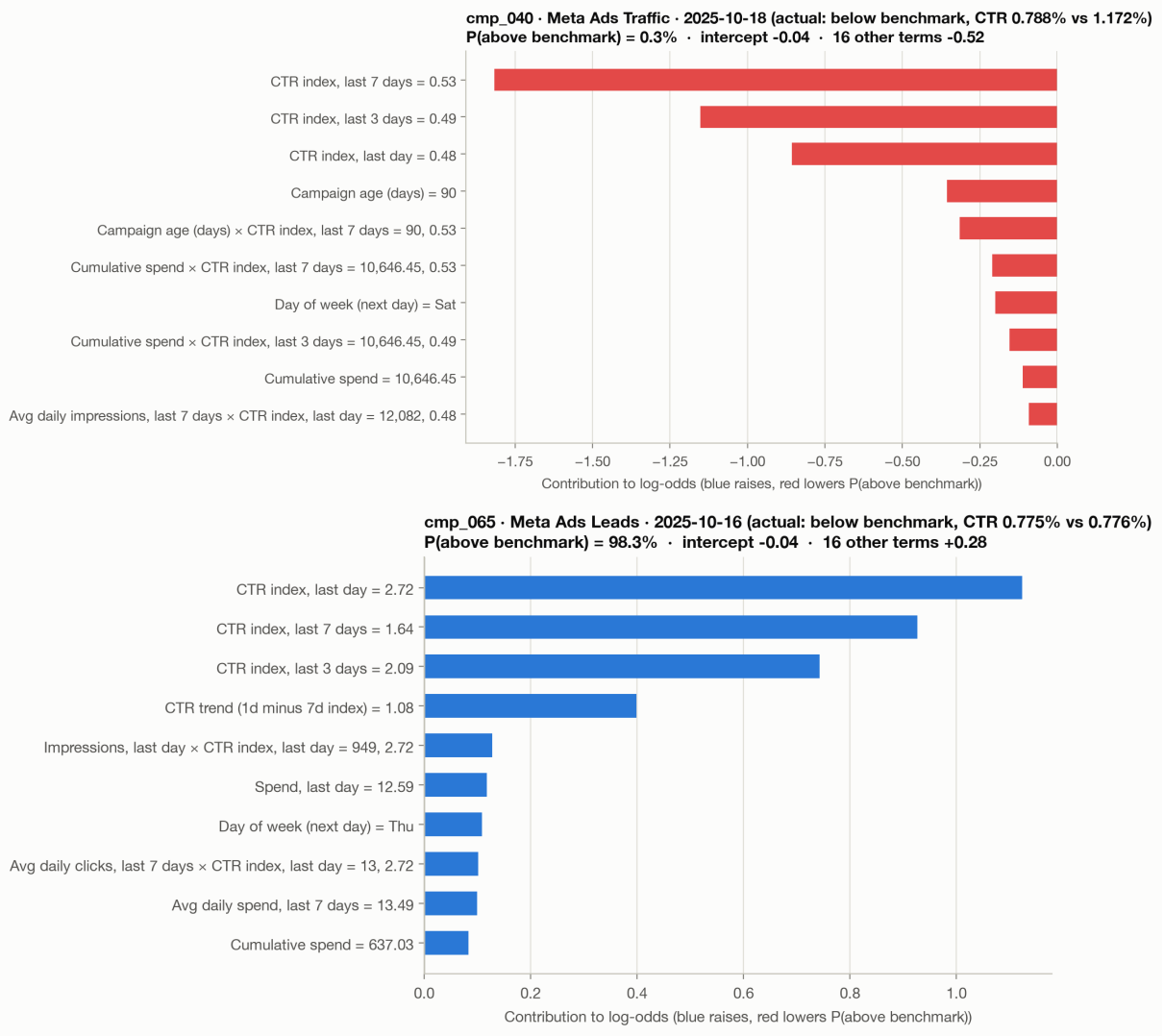



*Figure 8. Local explanations for two test cases: a correctly flagged at-risk campaign (top) and the most confident misclassification (bottom). Blue bars raise and red bars lower the probability.*

## 6.6 Permutation importance

Permutation importance measures how much test ROC-AUC drops when one feature is shuffled (Breiman, 2001). For EBM and CatBoost it confirms the global picture: the CTR-index features account for almost all of the drop and everything else is close to zero (Figure 10). Logistic regression behaves differently. It relies heavily on last-day spend (0.075) and campaign age (0.030), features the other two models largely ignore. The volume features are strongly correlated with each other, and a linear model can only approximate the curved CTR effects by leaning on correlated proxies. A marketer reading the logistic regression could easily conclude that spend drives CTR, which the other models do not support. This is a practical argument for EBM: its explanations are not only exact but also more stable.

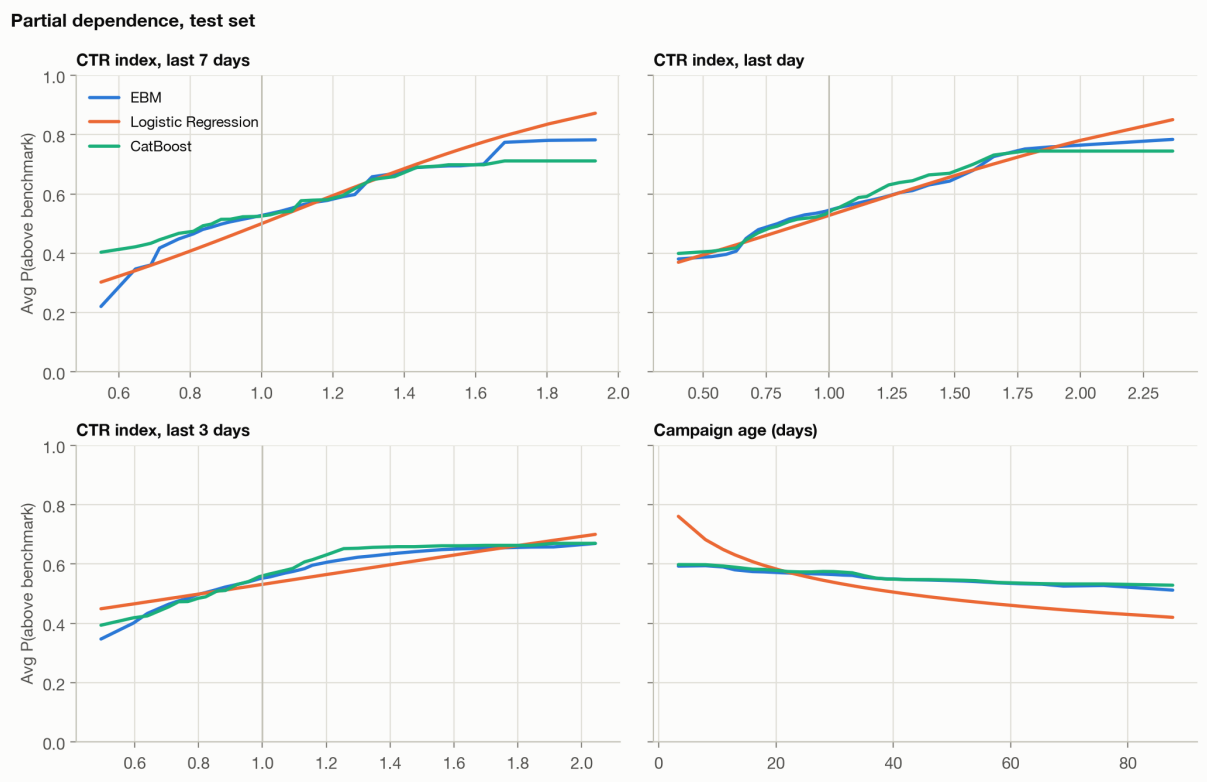



*Figure 9. Partial dependence on the test set for the four most important numeric features, for all three models.*

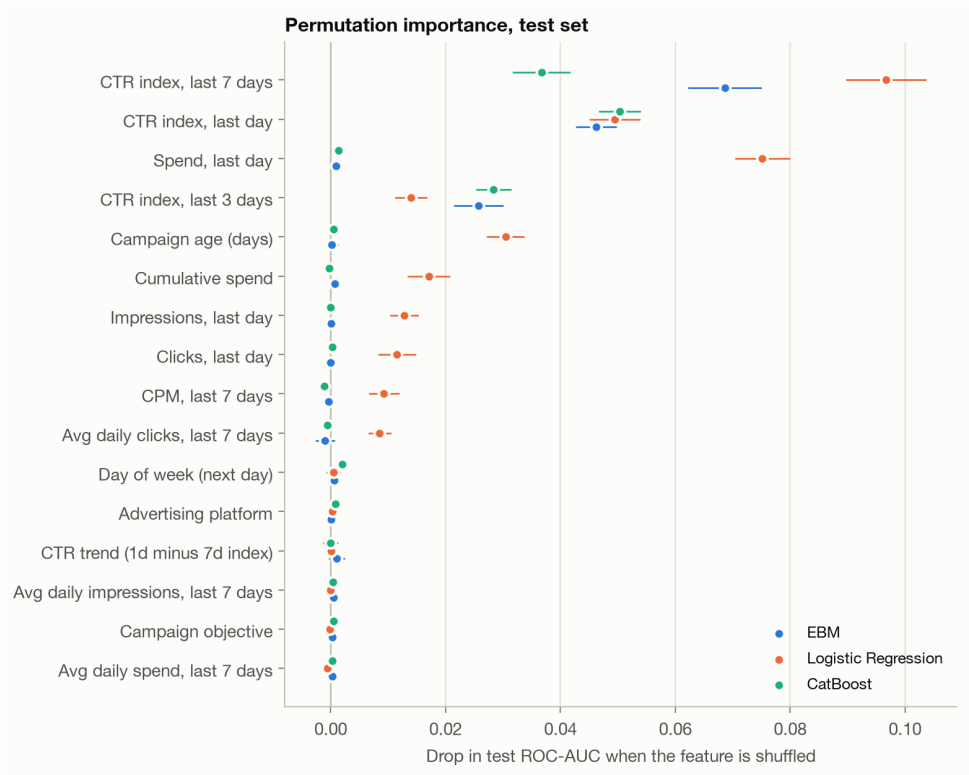



*Figure 10. Permutation importance on the test set (mean and standard deviation over 10 shuffles).*

### 6.7 Does the model agree with domain knowledge?

Broadly, yes. CTR persistence reflects the fact that an advert's relevance and audience fit change slowly. The decline with campaign age matches the long-documented wear-out of advertising under repeated exposure (Pechmann and Stewart, 1988). A weekday peak is plausible for search-led campaigns aimed at people at work, though it is the kind of pattern that should be checked against real account data. Because the simulated data was generated with these mechanisms, this section doubles as a recovery test, and the EBM recovered persistence, fatigue and the learning-phase effect without being told about them.

Two discrepancies are worth stating. First, the exploratory analysis showed opposite weekly patterns on the two platforms, but the EBM learned a single day-of-week curve, and none of its selected interactions involves platform and day of week. Its weekday effect is therefore an average that is slightly wrong for both platforms. EBM lets interactions be specified explicitly, so a platform × day-of-week term can be forced into the model. Second, the generator lowers CTR when a campaign spends well above its usual budget, but no feature expresses spend relative to the campaign's own norm, so the model cannot isolate this effect. A ratio of last-day spend to seven-day average spend would be a natural addition. Both points illustrate the value of a glass-box model: the gaps show up in the explanations, whereas in a black box they would stay hidden.

## 7. Front-end dashboard

The trained models are served through a Streamlit dashboard (`app/streamlit_app.py`) with five tabs.

- **Predict.** The user either picks a campaign and date from the dataset or starts a blank campaign, then enters or edits the platform, objective, campaign age, total spend and the last seven days of spend, impressions and clicks. The dashboard returns the probability that tomorrow's CTR beats the benchmark, an "on track" or "at risk" verdict, the EBM's contribution chart, a short plain-language summary of what raises and lowers the chance, and the probabilities from the two comparison models (Figure 11). Editing the table turns this into a what-if tool, for example to see how a further drop in clicks would change the outlook.
- **Campaign watchlist.** Scores every campaign active on a chosen date, or every campaign in an uploaded CSV file, ranks them from most to least at risk and names the main negative factor for each (Figure 12). The list can be downloaded.
- **What the model learned.** Interactive versions of the importance chart, shape functions, interactions and partial dependence plots.
- **Model performance.** Test metrics with confidence intervals, ROC and precision-recall curves, confusion matrices and the full hyperparameter search.
- **Data overview.** Dataset size, CTR trends by platform and the CTR distribution by objective.

Chance tomorrow's CTR beats the benchmark

29%

⚠ **At risk:** likely to fall below the benchmark tomorrow.

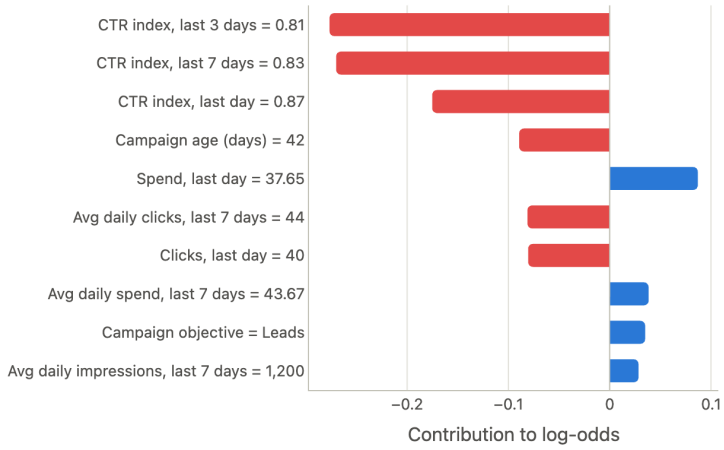
- Benchmark (Google Ads, Leads): **4.41%**
- CTR last day: **3.84%** · last 7 days: **3.67%**
- Predicting for: **Fri 26 Sep 2025**

What actually happened (original data): CTR 4.11%, **below** the benchmark.

**All models**

| Model | P(above) | Threshold |
|---|---|---|
| EBM | 29.3% | 0.51 |
| Logistic Regression | 27.5% | 0.57 |
| CatBoost | 30.0% | 0.58 |

**Why: the EBM's feature contributions**




**Raising the chance:** Spend, last day = 37.65 (+0.09); Avg daily spend, last 7 days = 43.67 (+0.04); Campaign objective = Leads (+0.04)

**Lowering the chance:** CTR index, last 3 days = 0.81 (-0.28); CTR index, last 7 days = 0.83 (-0.27); CTR index, last day = 0.87 (-0.18)

Blue bars raise the chance of beating the benchmark; red bars lower it.

EBM is additive: intercept (-0.04) + the sum of all 26 contributions = log-odds -0.88, i.e. probability 29.3%. Every contribution is read directly off the model, not estimated after the fact.

*Figure 11. Dashboard prediction for an at-risk Google Ads Leads campaign, with the EBM's explanation.*

Campaigns scored

22

At risk tomorrow

7

On track

15

| Status | Campaign | Platform | Objective | Last day | CTR, 7 days (%) | Benchmark (%) | P(above benchmark) | Biggest negative factor |
|---|---|---|---|---|---|---|---|---|
| ⚠ At risk | cmp_031 | Meta Ads | Awareness | 2025-09-25 | 0.21 | 0.45 | 0.59% | CTR index, last 7 days |
| ⚠ At risk | cmp_040 | Meta Ads | Traffic | 2025-09-25 | 0.83 | 1.17 | 2.22% | CTR index, last day |
| ⚠ At risk | cmp_076 | Meta Ads | Leads | 2025-09-25 | 0.62 | 0.78 | 10.64% | CTR index, last day |
| ⚠ At risk | cmp_066 | Google Ads | Leads | 2025-09-25 | 3.67 | 4.41 | 29.26% | CTR index, last 3 days |
| ⚠ At risk | cmp_038 | Google Ads | Leads | 2025-09-25 | 4.02 | 4.41 | 40.12% | CTR index, last 7 days |
| ⚠ At risk | cmp_015 | Google Ads | Engagement | 2025-09-25 | 1.72 | 1.7 | 45.96% | CTR index, last 3 days |
| ⚠ At risk | cmp_063 | Meta Ads | Engagement | 2025-09-25 | 0.97 | 0.84 | 46.32% | CTR index, last day |
| ✅ On track | cmp_069 | Google Ads | Awareness | 2025-09-25 | 0.49 | 0.54 | 52.25% | CTR index, last 7 days |
| ✅ On track | cmp_004 | Meta Ads | Sales | 2025-09-25 | 0.75 | 0.74 | 60.2% | Avg daily clicks, last 7 days |
| ✅ On track | cmp_037 | Meta Ads | Awareness | 2025-09-25 | 0.48 | 0.45 | 60.28% | Avg daily impressions, last 7 |

*Figure 12. Campaign watchlist ranked by the chance of beating the benchmark tomorrow.*

The dashboard calls the same feature-engineering code as the training pipeline. A test confirmed that, for 60 random campaign-days, the inputs it builds from a seven-day history are identical to those used in training. It also shows a warning banner whenever the loaded models were trained on simulated data.

# 8. Critical discussion

## 8.1 Limitations of the model

The model looks one day ahead and answers a yes/no question. It says nothing about how far above or below the benchmark a campaign will land, and a campaign hovering around its benchmark will flip between classes for reasons that are mostly noise. Its inputs are limited to a campaign's own recent delivery: creative content, audience targeting, placements, competitor activity, promotions and seasonality are all missing, and in practice they drive much of the variation in CTR. The misclassified case in Section 6.4 is typical of what the model cannot see. The gain over the persistence rule is real but modest, especially for hard yes/no labels, so the model is best seen as a way to rank and explain campaigns rather than as a precise forecast. Finally, a single threshold serves some segments worse than others (Section 5.3), and the model has been evaluated on one test period only.

## 8.2 Data quality

The most important limitation is that the results come from simulated data. The simulation encodes plausible mechanisms, but its noise is cleaner than real data and every effect the model found was put there by design. Real exports bring further problems: tracking and attribution settings that change over time, different click definitions (Meta's link clicks against all clicks), reporting time zones and currencies, platforms restating recent days after the fact, and small campaigns whose daily CTR is dominated by noise. The cleaning code handles duplicates, gaps, total rows and impossible values, and the 100-impression rule limits noisy labels, but the other issues need care when the data is collected.

## 8.3 Risks of bias and unfairness

The dataset contains no personal data, so the usual concerns about protected characteristics do not apply directly. Bias can still arise at the level of campaigns. Small-budget campaigns have fewer impressions and noisier CTR, so their predictions are less reliable and they may be flagged more often for random reasons. Long-running campaigns contribute more campaign-days and therefore carry more weight in the median benchmark. There is also a feedback risk: if flagged campaigns are routinely paused, they stop producing data, and the model never learns whether they would have recovered. Performance also differs by objective (Table 8), so a team relying on the tool for Sales campaigns would miss more problems than one running Traffic campaigns. Reporting results by segment, as done here, is a first safeguard.

## 8.4 Real-world impact and ethical considerations

Used well, the tool helps a small team decide where to look first each morning and gives a reason that can be checked against what the team knows about the campaign. Used badly, it could replace judgement: a confident "on track" label might lead someone to ignore a campaign whose client brief has just changed. The predictions describe associations in historical data, not causes, so they should not be used to justify actions such as cutting a budget on the grounds that the model "shows" spend lowers CTR. The interpretable model helps with accountability here, because any decision based on it can be traced to specific contributions. On the data side, real use requires the account owner's permission, confidentiality for client names and figures, and compliance with the advertising platforms' terms of service. Because conditions on the platforms change constantly, the model would need regular retraining and its performance would have to be monitored over time.

## 9. Conclusion and future work

This project built an end-to-end pipeline that predicts whether a digital marketing campaign's CTR will beat its benchmark tomorrow and explains each prediction. On a simulated dataset of 4,818 campaign-days, an Explainable Boosting Machine matched the accuracy of CatBoost and logistic regression, outperformed a persistence rule, and produced explanations that recovered the mechanisms built into the data while exposing two gaps in the feature set. These results show that the method works; they do not show how well it would work on real campaigns.

The next steps follow directly from the discussion. The pipeline should first be retrained on real Google Ads and Meta Ads exports, which needs no code changes. The feature set should then gain a platform × day-of-week interaction and a relative-spend feature. Per-segment thresholds, and a regression or multi-day target, would make the predictions more useful in practice. Finally, a deployed version would need drift monitoring and a regular retraining schedule.

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# Appendix A. Reproducing the results

All results can be regenerated from the source code. Software used: Python 3.12.12, interpret 0.7.8, scikit-learn 1.9.1, CatBoost 1.2.10, pandas 3.1.0, Streamlit 1.66.1. From the project folder:

```
pip install -r requirements.txt
python -m src.generate_synthetic   # only needed for the simulated data
python -m src.train                # cleaning, features, tuning, evaluation
python -m src.explain              # explainability figures and tables
streamlit run app/streamlit_app.py # dashboard
```

Random seeds are fixed, and two consecutive runs produced identical data and metrics.

*Table A1. Main source files.*

| File | Purpose |
|---|---|
| src/data.py | Loading, validation and cleaning; converter for platform exports |
| src/generate_synthetic.py | Simulated campaign data (development only) |
| src/features.py | Features, benchmark, target and chronological split |
| src/models.py | Model definitions and hyperparameter grids |
| src/train.py | Tuning, threshold selection, refitting and test evaluation |
| src/evaluate.py | Metrics, cluster bootstrap, segment analysis and evaluation plots |
| src/explain.py | EBM explanations, partial dependence and permutation importance |
| notebooks/01_eda.ipynb | Exploratory data analysis |
| app/streamlit_app.py | Interactive dashboard |
| report/build_report.py | Builds this report from the saved results |